**Table 40.10** Trading Tactics

| Trading Tactic | Explanation |
|---|---|
| Measure rule | Compute the formation height by subtracting the lowest low reached in the head(s) from the neckline, measured vertically. Add the result to the breakout price to get a target. The lower portion of the table shows how often the measure rule works. |
| Trade inner head-and-shoulders | Trade the inner head-and-shoulders bottom. That approach will allow you to get in at a good price. See the chapter on head-and-shoulders bottoms for specific trading hints. |
| Stop location | Stocks sometimes decline to the lowest of the right shoulders then turn around. Look for support areas near the shoulders. Place a stop-loss order 15 cents below the lowest right shoulder or head. |
| Watch for throwback | Buy or add to the position during a throwback. Wait for price to finish falling before placing the trade as price sometimes throws back and continues moving down. |

| Description | Bull Market | Bear Market |
|---|---|---|
| Percentage reaching half height target | 88% | 72% |
| Percentage reaching full height target | 71% | 45% |
| Percentage reaching 2× height | 50% | 24% |
| Percentage reaching 3× height | 38% | 14% |

The chart shows a complex head-and-shoulders bottom that forms after nearly a 2-year run-up in price. The formation marks a reversal of the 6-month retrace.

It took price just 2 weeks after the breakout to reach the target, but the stock was not done climbing. It moved sideways for almost a year before continuing higher. The stock reached a high of 39.38, nearly triple the head low of 13.50 and more than double the breakout price.

The bottom portion of the table shows how often price reaches a target using various heights. The prior example used the full height. In bull